

Partnership Act, 1964

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PARTNERSHIP ACT, 2020

Royal Seal and Publication Date

2020.11.16

Amending Acts

1. Judicial Administration Reform (Fourth Amendment) Act, 2043 2043.7.24
2. Partnership (First Amendment) Act, 2044 2044.7.1
3. Judicial Administration Act, 2048 2048.2.16

Ratification and Publication Date

4. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 2066.10.7
5. Some Nepal Acts Amendment Act, 2072 2072.11.13
6. Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075 2075.11.19

Act No. 36 of the year 2020

An Act Made to Provide for Partnership

Preamble: Whereas, it is desirable to make legal provisions relating to partnership for the benefit and convenience of the general public,

Now, therefore, His Majesty King Mahendra Bir Bikram Shah Dev has enacted this Act with the advice and consent of the National Panchayat. Chapter-1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Partnership Act, 2020".
(2) This Act shall extend throughout Nepal removed by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..
(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-
(a) "Business" includes every trade, occupation, profession or vocation.
(b) "Prescribed" or "as prescribed" means prescribed or as prescribed in this Act or in the Rules made under this Act.
(c) "Third Party" means any person other than a partner in relation to a partnership firm.
(d) "Notification" means any order of the Government of Nepal published in the Nepal Gazette. Amended by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075. (e)

"Concerned Department" means the Department of Commerce, Supply and Consumer Interest Protection for matters concerning firms relating to commerce, and the Department of Industries for matters concerning industries other than those, and the said word shall also mean the department or office looking after commerce and industries of the provincial government for matters concerning commerce and matters concerning cottage and small industries. 3. Meaning of Partnership: (1) Partnership means a relationship between persons who have agreed among themselves, keeping a common name, to share the profits, with all partners participating in all transactions for each partner or any partner participating for all partners, and which has been registered in the records of the Government of Nepal pursuant to this Act.

(2) The persons who have so agreed are called partners mutually, and collectively the firm, and the name under which the business is carried on is called the firm name.

(3) A partnership firm is not a person apart from the partners. 4.

Joint Family Business Not Deemed Partnership: Unless the co-sharers of a joint family have agreed and are carrying on business in partnership, the business of the joint family shall not be deemed a partnership for the purposes of this Act. Chapter-2 Firms to be Registered in the Records of the Concerned Department and to Obtain Certificate 5. Registration in the Records of the Concerned Department: Within six months of the formation of a partnership, such partnership shall be registered in the records of the concerned department pursuant to this Act. Provided that, any act or transaction done by or on behalf of such partnership during the period it remains unregistered as aforesaid shall not have legal validity under this Act. 6. Matters to be Disclosed in Application for Registration and Fee: An application shall be made to the concerned department in the format of Schedule 1 (A), including the fee specified in Schedule 2 (A), along with a duly certified copy of the agreement among the partners, if any, disclosing the following matters: (a) Full name of the firm, (b) Principal place of business of the firm, (c) Objectives of the firm, with a brief description of the goods or items the firm intends to deal in or the services it intends to provide, (d) Full names, surnames and permanent addresses of the partners, (e) If any restrictions are imposed on the authority of any partner, that fact, (f) Type of partners and the capital contributed by each partner, (g) Name of the partner or partners representing the firm, (h) Manner of sharing profits and losses, (i) Manner of ascertaining profits, (j) Any other matters the concerned department may prescribe to be disclosed. 7. Firm Name: A firm name shall not be such as to be identical with the name of any other firm already registered or with the name of a limited company registered under the Companies Act. 8. Certificate of Firm Registration: If the conditions under Sections 6 and 7 are met, after the firm name has been entered in the register book of the concerned department under this Act, a certificate in the format of Schedule 3 (A) shall be issued in the name of the partners from the concerned department. 9. Firms Already Registered Not Required to Register Again: Firms already registered under the Private Firm Registration Act, 2014 shall not be required to register again under this Act. Provided that, if the particulars mentioned in Schedule 1 (A) referred to in Section 6 were not previously included, the partners shall submit such particulars if demanded by the concerned department. 10. Permission Required for Change in Particulars: Amended by the First Amendment.

If any change is required in the particulars of the application and the agreement submitted under Section 6 at the time of firm registration, an application shall be made to the concerned department stating such change, and such particulars may be changed only after obtaining approval from the concerned department. 11. Renewal Required: Amended by the First Amendment. Within thirty-five days of the expiry of the fiscal year of a firm registered under this Act, an application shall be made to the concerned department in the format of Schedule 1 (B) along with the fee specified in Schedule 2 (B). If the application with the fee is submitted within said period, the concerned department shall record the renewal in the registration record and on the

registration certificate of such firm. No firm shall be operated under the same name without getting it renewed. 11A. Concerned Department May Demand Statement: Added by the First Amendment. (1) The concerned department may demand a statement of accounts from any firm registered under this Act. (2) It shall be the duty of such firm to submit the statement of accounts demanded under sub-section (1) to the concerned department. 11B.

Firm May Be Dissolved: Added by the First Amendment. (1) The concerned department may dissolve a firm registered under this Act in the following circumstances: (a) If a firm registered for commercial business fails to get renewed within the prescribed period, (b) If the partners submit an application to the concerned department for dissolution of the firm stating reasonable cause, (c) If the concerned firm fails to submit the statement under Section 11A within the prescribed period when demanded by the concerned department, (d) If an industry-related firm operates and then closes the industry, whether or not informing the concerned department, (e) If an industry-related firm fails to get renewed within the prescribed period from the date of expiry of the renewal deadline, or having obtained renewal, fails to submit a written progress report to the concerned department regarding the construction of factory, purchase of machinery, tools, equipment, or actions required for establishing and operating the industry as per the license conditions, or (f) If the firm does any other act contrary to this Act or the Rules made under this Act. (2) Before dissolving a firm under clauses (a), (c), (d), (e) or (f) of sub-section (1), the concerned firm shall be given a reasonable opportunity to present evidence. (3) If a firm is dissolved by the concerned department under clauses (a), (c), (d), (e) or (f) of sub-section (1), another firm with the same objectives shall not be registered in the names of the partners of the dissolved firm for one year. Added by the Some Nepal Acts Amendment to Make Compatible with the Constitution of Nepal Act, 2075. 11C. Registration of Partnership in Province: The registration, renewal and other related arrangements of partnership at the provincial level shall be as provided by provincial law, subject to this Act. Chapter 3 Mutual Relations of Partners 12. Mutual Relations of Partners: (1) The rights and duties of partners in a partnership are determined by the agreement among the partners. Such agreement may be implied from the conduct of the parties or be in writing. (2) In case of a partnership agreement, the provisions written in such agreement shall apply, and in the absence thereof, the provisions of Sections 13 to 26 of this Act shall apply to the partnership. 13. Property of the Partnership: The property of the partnership shall be as follows: (a) All property contributed at the commencement of the common business, (b) Property acquired for or on behalf of or for the purposes of the partnership, (c) Money earned by a partner by carrying on business, and (d) Goodwill acquired from the business carried on by the partnership.

Explanation: Unless a contrary intention appears from the context, all property and rights acquired with the firm's money shall be deemed to have been acquired for the firm. 14. Use of Partnership Property: The partnership property shall not be used or allowed to be used by the partners for any purpose other than the partnership business. 15. No Compulsion to Contribute More Capital: No partner shall be compelled to contribute more capital than the amount specified in the partnership agreement, even if demanded by other partners. 16. Not to Admit Substitutes: No partner shall, without the consent of the other partners, introduce or admit any other person as a partner in his stead. 17. Partner's Right to Participate in Management: (1) Subject to an agreement excluding a partner from participating in the management of the partnership business, every partner has a right to take part in the management of the common business, unless there is any objection. Provided that, without the consent of all partners, no other work unrelated to the common business shall be done in the name of the partnership.

(2) If it is agreed that all or any business of the partnership shall be done jointly by all partners or by any two

or more of them, and if due to any reasonable cause all such partners are unable to do such work as agreed, they may authorize any one of them to do such work. 18. Right to Inspect and Take Copies of Accounts: Every partner shall have the right to inspect the books of accounts and records of the partnership, and if he desires to take copies, the partner having custody of such records shall provide a copy as per the original, duly signed by him. 19. Remuneration and Interest: (1) Every partner shall receive remuneration for managing the common business as determined by the agreement, and if he contributes capital exceeding the amount agreed upon, he shall also receive interest as per the deed, not exceeding ten percent.

(2) If any partner causes loss or damage through wilful negligence, he shall make good that loss. 20. Profit Earned by Partner Belongs to Firm: If any partner makes any profit either in the course of any business of the firm, or by using the firm's property, or from the connection of the firm's business, or in the firm's name, such profit and the account thereof shall be accounted for and paid to the firm. 21. Amount Paid by Partner to be Shown in Accounts: If any partner pays or settles any amount under Sections 19 and 20, such amount shall be clearly shown in the profit and loss accounts of the firm's fiscal year. 22.

Division of Profits and Losses: (1) When calculating and dividing profits and losses among partners, if provision is made in the agreement, it shall be done accordingly, and if not, it shall be divided in equal proportions. (2) If there is an agreement to give or take interest on the capital contributed by a partner at the formation of the partnership, such interest shall be paid only out of profits. 23. Not Entitled to Profit: If a partner has not paid and settled his share of the capital payable to the firm, he shall not be entitled to receive his share of profit until the outstanding amount so payable is fully paid. Chapter 4 Relation of Firm and Third Party 24. Acts of Partner Binding Firm: Subject to the agreement mentioned in Section 17, every partner is entitled to represent the firm, and the firm shall be bound by the acts done by a partner for carrying on the business of the firm. If any partner commits fraud in the course of the firm's business, upon complaint by other partners, the competent court may order that such partner be excluded from representing the firm. 25. Firm Bound by Acts of Partner: A partner may have his authority to represent the partnership restricted by the agreement. Notwithstanding anything contained in such restrictive agreement, if a third party dealing with the firm has no knowledge of such restriction, the firm shall be bound by the acts done by any partner on behalf of the firm. 26. Liability: Every partner shall be liable jointly or individually for all acts done on behalf of the firm while he is a partner. 27. New Partner Not Liable: (1) A new partner shall not be liable for any partnership acts done before he became a partner. (2) A partner retiring from the partnership may be discharged from any liability to a third party for subsequent acts of the firm only by an agreement with such third party and with the consent of the continuing partners. (3) If a third party has notice that a partner is about to retire from the partnership, the retiring partner shall not be liable for acts done by other partners in the firm's name after he has retired. 28.

Partner's Right to Sell, etc.: If any partner sells, mortgages, or otherwise transfers all his rights in the firm to another person, such person may claim the share of profits or any other amount that the partner would be entitled to from the partnership business during that period. Provided that- (a) Such person shall not be deemed a partner of the firm, and (b) Without the consent of all partners, he shall not have the right to inspect the books of account of the firm. Chapter 5 Dissolution of a Partnership 29. Dissolution of Partnership: A partnership may be dissolved with the consent of all partners or in accordance with the agreement among them. 30. Dissolution by Written Notice: If a partnership is for an indefinite period, any partner may dissolve the partnership by giving written notice to the other partners at any time. Unless otherwise agreed among the partners, the partnership shall be deemed dissolved from the date mentioned in the notice, or if no date is mentioned, from the date of service of the notice. 31. Dissolution at Any Time: Notwithstanding any

agreement whatever among the partners, a partner may dissolve the partnership for a special reason, and especially in the following circumstances: (a) If any partner becomes incapable of performing the partnership duties as per his agreement, or (b) If another partner fails to pay the amount payable to the firm or transfers his share in the partnership to someone else without the consent of other partners, or (c) If the share of another partner is attached by a court decree, or (d) If another partner commits fraud or gross negligence in the firm's business, or (e) If another partner is sentenced to imprisonment. 32. Automatic Dissolution After Term: Subject to the agreement among the partners, a partnership formed for a limited period shall stand dissolved automatically upon the expiry of that period, or a partnership formed for one or more specific undertakings shall stand dissolved upon the completion of such undertaking or undertakings. 33. Immediate Dissolution of Partnership: A partnership shall be dissolved immediately upon the death of a partner or upon a partner becoming insolvent. 34. Liability to Third Party Continues Until Notice: If the dissolution of a partnership is not publicized or if the third party dealing with the firm has no knowledge or information of such dissolution, all partners shall be liable to the third party for acts done in the name of the firm even after dissolution. Provided that, no amount shall be payable from the estate of a deceased or insolvent partner for acts done after the date of his death or insolvency. 35.

Right to Participate Through Representative: Subject to Section 32, every partner may participate in the dissolution personally or through his representative. 36. Powers Continue After Dissolution: For the purpose of winding up the affairs of the firm and completing unfinished business commenced before dissolution, the authority to bind the firm and the mutual rights and obligations of the partners shall continue notwithstanding the dissolution. 37. Settlement of Firm Accounts: Subject to the agreement among the partners and Section 32, in settling the accounts of a dissolved firm, the following rules shall be observed: (a) Convert the firm's property into cash without causing detriment to the firm's interest, (b) Losses, including diminution of capital, shall be paid first out of profits, then out of capital, and if still insufficient, by the personal estates of the partners individually. (c) The firm's assets shall be applied in the following order and manner, including for making up capital deficiencies: (1) Debts of the firm to third parties, (2) Advances made by partners other than capital, proportionately, (3) Capital contributed by partners, proportionately, and (4) The residue, if any, shall be divided among the partners as profits according to their shares. 38. Property Not to be Divided Before Paying Debts: Notwithstanding any agreement among the partners, the firm's property shall not be divided among the partners without paying the debts of the firm. 39. Appointment of Liquidator: If any partner complains with evidence and proof that unnecessary delay is occurring in settling the accounts of the firm, the concerned department may appoint one or more liquidators to carry out the dissolution of the firm. The liquidator or liquidators shall carry out the dissolution and settlement of accounts in accordance with the partnership agreement and this Act. The work and proceedings of the liquidators shall be under the control of the concerned department. 40. Right of Appeal: A partner aggrieved by a decision of the concerned department may appeal against the concerned department to the High Court within thirty-five days of receipt of notice thereof. Chapter 6 Miscellaneous Matters 41. Punishment: Penalties as follows may be imposed by order of the concerned department for the following clauses: (a) If any partnership operates business without getting registered contrary to Section 5, a fine of up to Rs. 50/- fifty rupees for each partner, (b) If it appears that false particulars have been written in the application under Section 6, a fine of up to Rs.

100/- one hundred rupees for each partner of the firm so registered, (c) If a firm fails to give the notice required under Section 10, a fine of up to Rs. 100/- one hundred rupees for the firm, (d) For contravention of Section 11, a fine of up to Rs. 50/- fifty rupees for each partner. 42. Appeal: A person aggrieved by a penalty imposed by the concerned department under clauses of Section 41 may appeal against the concerned department to Amended by the Some Nepal Acts Amendment Act, 2072. the High Court within thirty-five

days of receipt of notice thereof. 42A. Added by the First Amendment. Power to Amend Schedules: The Government of Nepal may amend the Schedules by publishing a notification in the Nepal Gazette. 43. Matters Governed by this Act: Matters provided for in this Act shall be governed accordingly, and other matters shall be governed by the prevailing Nepal law. 44. Power to Make Rules: The Government of Nepal may make Rules for carrying out the purposes of this Act. Schedule 1 (A) Amended by the First Amendment. Format of Application for Firm Registration To, The Director General, Ministry of Industry/Commerce, Department of Industry/Changed by the notice published in the Nepal Gazette on 2061.4.18. Cottage and Small Industry/Commerce, Kathmandu, Nepal. Sir, We have agreed to open a partnership firm and operate the business as described below. We hereby submit this application along with the deed of agreement. Having paid the applicable government fee, we request you to register a firm with the name written below in our names. Should any of the statements written herein be found false, we shall bear the consequences as per law. Particulars 1. Capital amount 2. Names, surnames and addresses of partners along with three generations. Witness: Identifying that the names, surnames and addresses of the applicant as written above are correct: Yours faithfully, Signature/Seal of Applicant Schedule 1 (B) Format of Application for Firm Renewal Date: To, The Director General, Ministry of Industry/Commerce, Department of Industry/Cottage and Rural Industry/Commerce, Kathmandu, Nepal. Sir, We are making this application for the renewal of the certificate no. dated obtained from your department for this firm to operate the business of We request you to please renew the said certificate. Yours faithfully, Signature/Seal of Principal Partner (Name of the Firm) Amended by the First Amendment.

Schedule 2 (A) Firm Registration Fee For the registration of a partnership firm with the following capital, the following registration fee shall apply: (a) Up to One Hundred Thousand Rupees Six Hundred Rupees. (b) More than One Hundred Thousand Rupees up to Three Hundred Thousand Rupees Two Thousand Rupees. (c) More than Three Hundred Thousand Rupees up to Five Hundred Thousand Rupees Four Thousand Rupees. (d) More than Five Hundred Thousand Rupees up to One Million Rupees Seven Thousand Five Hundred Rupees. (e) More than One Million Rupees up to Five Million Rupees Ten Thousand Rupees. (f) More than Five Million Rupees, regardless of amount Fifteen Thousand Rupees. Amended by the First Amendment and changed by the notice published in the Nepal Gazette on 2061.4.18. Schedule 2 (B) Firm Renewal Fee (a) For a firm with capital up to One Hundred Thousand Rupees One Hundred Rupees. (b) For a firm with capital more than One Hundred Thousand Rupees up to Three Hundred Thousand Rupees One Hundred Twenty-Five Rupees. (c) For a firm with capital more than Three Hundred Thousand Rupees up to Five Hundred Thousand Rupees One Hundred Fifty Rupees. (d) For a firm with capital more than Five Hundred Thousand Rupees up to One Million Rupees Two Hundred Rupees. (e) For a firm with capital more than One Million Rupees up to Five Million Rupees Two Hundred Fifty Rupees. (f) For a firm with capital more than Five Million Rupees, regardless of amount Three Hundred Rupees. Amended by the First Amendment and changed by the notice published in the Nepal Gazette on 2061.4.18. Schedule 3 (A) Format of Firm Registration Certificate Government of Nepal Ministry of Industry/Commerce Department of Industry/Changed by the notice published in the Nepal Gazette on 2061.4.18. Cottage and Small Industry/Commerce Certificate of Firm Registration This certificate is issued to Firm, registered under the Partnership Act, 2020, in this department under No. on date Name of Partner: Address: Total Capital: Objectives: Address of Firm: Date: Director General Note: Changed by the notice published in the Nepal Gazette on 2061.4.18. This certificate must be renewed within thirty-five days from the date of expiry of the fiscal year. This firm shall not carry out any work other than that mentioned in the objectives. This certificate must be brought along at the time of renewal. Its renewal shall be done by the concerned department. Amended by the First Amendment.